

NVIDIA Corporation

NVDA NASDAQ

Buy

\$217.55 ▼ 4.57%

12M Price Target
\$265.00

52-Week Range
\$164.07 – \$236.54

Market Cap
\$5.25T

NVDA: Profit-Taking After Earnings, But Story Intact

WHAT HAPPENED

- NVDA dropped 4.57% today to \$217.55 after popping 8%+ yesterday on earnings — this is classic "sell the news" profit-taking, not a fundamental crack. Yesterday's rip means someone bought at \$228 and is now underwater, which explains the heavy put buying at \$220-225 strikes (traders hedging or betting on more downside near-term).
- The narrative got louder in both directions today: one analyst floated a \$13 TRILLION market cap (basically saying NVDA becomes 2.5x its current size), while GuruFocus questioned whether the \$315 price target holds up against a \$108B revenue quarter test. When bulls and bears both scream, volatility follows.

WHY IT MATTERS

The put/call ratio of 0.61 is technically "bearish" on the surface, but look closer — those massive put positions at \$220-225 expiring this week are almost certainly institutions hedging yesterday's gains, not directional bets against the company. What this really means: big money made money on earnings and is protecting it, which is healthy, not scary. The bigger story is that NVDA quietly became "its own market category" (per today's headline) — meaning it's no longer just a chip stock, it's the AI infrastructure benchmark, and that changes how it should be valued. Watch for the \$210 level to hold; if it does, the next leg targets \$240+ as the profit-taking clears.

POLICY & POLITICAL WATCH

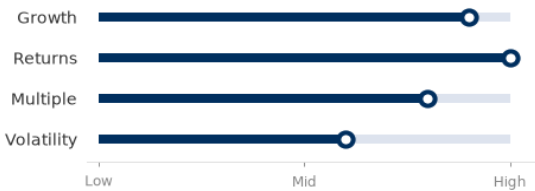
The big policy overhang remains China export controls — the Trump administration cut a deal earlier this year letting NVDA sell H20 chips to China with a 15% revenue kickback to the US government, which is unusual but keeps the China revenue spigot partially open. Watch Congress this fall for the CHIPS Act 2.0 discussions and any expansion of the AI Diffusion Rule, which could either open or close markets in the Middle East and Southeast Asia where NVDA has been signing sovereign AI deals (Saudi, UAE). Also on the radar: the federal AI infrastructure spending baked into the FY2027 budget — if that clears, NVDA gets a direct pipeline into DoD and DOE supercomputing contracts.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$217.55
12M Price Target	\$265.00
Upside / (Downside)	+21.8%
Market Cap	\$5.25T
FY2026E Revenue	\$205M
FY2027E Revenue	\$268M
FY2026E EPS	\$4.45
FY2027E EPS	\$6.20
Fwd P/E	48.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$222.00	\$200.00
6 Months	\$265.00	\$240.00	\$185.00
1 Year	\$315.00	\$265.00	\$170.00
2 Years	\$400.00	\$320.00	\$150.00
5 Years	\$600.00	\$425.00	\$130.00
10 Years	\$900.00	\$550.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.42%) leading today — Meta and Google benefit from the same AI story as NVDA but with less earnings volatility. Consumer Discretionary also strong, suggesting risk-on tone despite NVDA weakness.

COOLING OFF: Materials slightly red; Energy bouncing but 5-day still negative — the "old economy" trade isn't catching a bid, which is actually bullish for tech/AI leadership continuing.

ROTATION WATCH: Money isn't leaving AI — it's rotating WITHIN AI. Today's NVDA weakness is likely funding buys in the AI-adjacent names (hyperscalers, power companies, data center REITs) that benefit from the same theme with less crowded positioning.

RELATED PLAY: If you want NVDA exposure without the single-stock risk, look at the picks-and-shovels one level deeper — Vertiv (VRT) for data center cooling, Constellation Energy (CEG) for the nuclear power that AI needs, and TSM which actually makes NVDA's chips.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Custom AI silicon for hyperscalers — the "if you can't beat NVDA, hire Broadcom" trade.
- META (Meta Platforms): Biggest NVDA customer, and their ad business monetizes the AI spend directly.

NVDA CONTEXT: NVDA is DOWN today while the broader tech tape is UP — that's short-term profit-taking, not a leadership change. NVDA is still 74% of its 52-week range and up massively YTD; a 4.5% pullback after an 8% earnings pop is just the market breathing.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Pounding the table on the multi-year story, cautiously optimistic on the next 30 days given today's technical damage.

POSITION SIZE: 5-8% of a growth portfolio — this is a core holding, not a trade. It's big enough to matter but not so big that a 20% drawdown ruins your year.

ENTRY POINTS: I'd nibble at \$210-215, back up the truck sub-\$200. Don't chase above \$225 in the short term — let the profit-takers finish.

TIME HORIZON: 12-24 months, with the next catalyst being Q3 hyperscaler capex guidance in late October and any China policy news.

WHEN TO BAIL: If a hyperscaler guides capex DOWN by more than 10%, or if China policy reverses hard, cut position in half. Full exit if forward revenue guide comes in below 30% growth.

HEDGING: Simplest hedge — own less. If you're nervous, trim 20% here and re-buy on a pullback. Fancy version: buy 6-month puts 15% out of the money as portfolio insurance, roughly 2-3% of position value.